

Money Mistake: The Baby Is On the Way

THE FIX: DON'T BLOW YOUR SAVINGS ON CONSUMER CRAP

So you went through with it. You've decided to have a child. Great. You've got a budget and a financial plan for that in place, right? We're often told that the first year of a baby's life is the priciest—the new furniture, the doodads and gadgets you're supposed to buy to get ready for baby. There's an insidious consumer trance that comes over new parents. Successful big-box stores and retailers now have entire corporate wings devoted to selling parents new clothes and designer furniture. Setting up a nursery has become a competitive parental sport, a far cry from the days when a bassinet at the foot of the bed was all you needed besides diapers and a baby bottle. Some estimates put the cost of the baby's first year at \$10,000. That's not including the increase in utility bills, from running the dishwasher, washer, and dryer three times more than you used to.

I have a colleague in television, a bright guy who's also pretty financially savvy. He watches the markets. He knows what's what about money. When his partner got pregnant, he did a few things right—chief among them, he and his partner didn't go on a consumer baby binge the moment the pregnancy test came back positive. To all new parents out there: It's a baby. It doesn't need a whole lot of stuff besides love and food. This couple I mentioned spent exactly \$100 to prepare for their newborn. They bought some diapers and wipes and bottles. That's it. The baby bassinet, the state-of-the-art car seat, the stroller, the clothing, the blankets—that stuff was all donated by their friends and family whose own children had grown out of it. This not only demonstrates good spending habits; this is good parenting. Being frugal from the get-go instills in a child the difference between need and want. By the way, the stuff passed down to them was good quality. Rather than giving it away, their friends and family might have made a buck on the resale. I'm just saying.